(i) **Central government** expenditure on 'social services and rural development' (Plan and non-Plan) has increased from **14.77** per cent in 2007–08 to **17.39** per cent in 2012–13 (BE) with an *all-time high* of **18** per cent in 2010–11 due to the combined effect of higher expenditure under the Pradhan Mantri Gram Sadak Yojana (PMGSY) and education.

(ii) **General Government** (centre and states combined – Plan and Non-plan) expenditure on social services has also shown increase in recent years reflecting the higher priority given to this sector –

(a) Expenditure on social services ***as a proportion of total expenditure*** increased from 22.4 per cent in 2007–08 to 24.7 per cent to 25 .1 per cent in 2012–13 (BE). Among social services, the share of expenditure on *education* has increased from 43.9 per cent in 2007–08 to **46.6** per cent in 2012–13 (BE), while that on *health* has 'fallen' from 21.5 per cent to **19.2** per cent.

(b) As a ***proportion of the gross domestic product*** (GDP), expenditure on social services increased from 5.91 per cent in 2007–08 to 6.79 per cent to 7.09 per cent in 2012–13 (BE). While expenditure on *education* as a proportion of GDP has increased from 2.59 per cent in 2007–08 to **3.31** per cent in 2012–13 (BE), that on *health* has increased from 1.27 per cent in 2007–08 to **1.36** per cent in 2012–13 (BE).

Health is the most important determining factor of 'living standard' of a society – continues to be an area of concern – for India. India's expenditure on health as a per cent of GDP is very low compared to many other emerging and developed countries. Unlike most countries, in India, private-sector expenditure on health as a percentage of GDP is higher than public expenditure and was more than double in 2010. Despite this, the total expenditure on health as a percentage of GDP is much lower than in many other developed and emerging countries and the lowest among *BRICS* (Brazil, Russia, India, China and South Africa) countries.

POVERTY